

The complaint

Mr D is unhappy that Santander UK Bank Plc (“Santander”) won’t refund the money he says he lost to a third-party scam.

What happened

The circumstances that led to this complaint are well known to both parties, so I won’t repeat them in detail here. But, briefly in August 2025 Mr D saw an advert for a mobile phone on a social media marketplace. Mr D made two payments totalling £95 as part payment but Mr D never received the phone and the seller blocked him. Mr D then found another seller and paid £100 but when he received the tracking information it wasn’t valid. As Mr D didn’t receive either phone or a refund from the respective sellers, he raised a scam claim with Santander.

Santander did not provide a refund as it said it was entitled to deduct an excess of £100 from each claim under the Faster Payment Scheme Reimbursement Rules (“Reimbursement Rules”).

Our investigator considered the complaint and agreed that Santander had fairly applied the excess under the Reimbursement Rules.

Mr D did not agree he said:

Santander didn’t deduct any excess and should have refunded him £95 and £100 but said because he had transferred less than £100 to each person they couldn’t refund him. He says this wasn’t explained to him when he did the transfers over the phone.

Our investigator explained that Santander had shown the information was available in its website and on Mr D’s most recent statements. He also said he couldn’t fairly ask Santander to refund Mr D the excess purely because it didn’t tell him about it.

Mr D didn’t agree, so his case has been passed to me for a decision.

What I’ve decided – and why

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Having done so, I’ve come to the same outcome as the investigator for broadly the same reasons.

When considering what is fair and reasonable, I'm also required to take into account: relevant law and regulations; regulatory rules, guidance and standards; codes of practice; and, where appropriate, what I consider to have been good industry practice at the relevant time.

In broad terms, the starting position in law is that a firm is expected to process payments and withdrawals that a customer authorises, in accordance with the Payment Services Regulations and the terms and conditions of the customer's account.

So, in the first instance, a customer is presumed liable for losses that result from a payment like this that they instruct their bank to make. However, where a customer made the payment as a consequence of the actions of a fraudster, it may sometimes be fair and reasonable for the bank to reimburse the customer even though they authorised the payment.

For Faster Payments transfers made on or after 7 October 2024, the Reimbursement Rules provide additional protection for the victims of APP scams – and will typically require the reimbursement of those payments.

In this case, I've first considered whether the Reimbursement Rules and associated guidance issued by the PSR are relevant to the payment in dispute. Where they are relevant, I must have regard to the rules and guidance, as well as considering what is fair and reasonable in all the circumstances of the complaint.

There's no dispute that Mr D's payment falls within the scope of the Reimbursement Rules. It's also my understanding there's no dispute about whether any of the exceptions to reimbursement apply, other than whether the excess can be fairly applied.

The Reimbursement Rules set out that the value of the Reimbursable Amount to be credited shall be the full value of all Reimbursable FPS APP scam payments, up to the maximum level of reimbursement and *less any claim excess imposed*. In respect of applying an excess the Rules state that:

Sending PSPs may apply a single claim excess to each FPS APP scam claim, up to the maximum claim excess value set by the PSR and published on their website.

The PSR's website includes the following, setting the maximum value of the 'excess':

- *Sending PSPs may apply an excess up to a maximum of £100 per claim.*
- *Sending PSPs may decide to apply the maximum excess (£100), a lower excess or no excess*

Santander's own website says:

We'll apply a £100 excess from the total refund. This is a fixed amount for each claim you make. For example, if your claim is for £1000, your refund will be £900.

The £100 excess will also apply to all claims under £100

If something prevents you from being able to protect yourself while making a payment, we won't apply the excess.

Santander also includes this information on customer statements including Mr D's own recent statements.

The rules do contain an exception to this permission to deduct an excess. This affects claims where a customer met the rules' definition of a vulnerable customer at the time of the payment. In summary, this exception might take effect where the customer's circumstances meant they were especially susceptible to harm. Mr D has not argued that this should apply to him, and I have not seen any evidence which persuades me it was the case at the time he made the payments.

So, the Reimbursement Rules allow Santander to choose to make the deduction from a scam claim. As each claim amount is less than or equal to the excess, this means Santander does not need to refund Mr D anything under the Reimbursement Rules.

Mr D argues that when he made the payment, Santander did not do enough to make him aware of the deduction it might later apply. Mr D has referred to a conversation he had with Santander when he made the first payment.

I've listened to that call. Santander told Mr D that once the payment is made, they can't recall it. Mr D asked if the payment was protected and the call handler said it wasn't protected. She did say that if he has been scammed, he can raise it as a fraud claim. Whilst Santander did not point out an excess might apply – it did not promise any refund – just that it could raise a fraud claim.

Even if such a failure on Santander's part could be established (and I am not persuaded it has been) that would not change the outcome I have reached. When Mr D made the payment, he was acting in good faith. He acted as he did in the belief the transaction was legitimate. So, even if Mr D had been fully aware in advance that Santander would make a deduction of £100 from a scam claim, I don't think that would have made any material difference to him proceeding with the payment. At the point he made the payment, I don't think Mr D would likely have thought any such considerations were relevant, as he believed he was entering into a legitimate transaction at the time.

Unfortunately, and unlike payments made by card or using credit, bank transfer payments give very little protection to consumers. For example, section 75 of the Consumer Credit Act covers situations where a product is faulty, doesn't arrive or wasn't as described and consumers aren't able to resolve this with the supplier. But the protections offered by section 75 of the Consumer Credit Act simply don't apply here — Mr D's payments were Faster Payments transfers from his bank account with Santander.

So, I don't find Santander's overall decision to apply the excess was unfair under the terms of the Reimbursement Rules.

I have considered if there are any other reasons why Santander should refund Mr D's loss. I don't think there was anything so unusual or concerning about the size of the payment Mr D sent that it should have been obvious to Santander that he might be about to lose money to a scam. So, I couldn't fairly expect Santander to have done more than it did here.

Mr D made the payments on 22 August 2025, and 29 August 2025 reported them respectively to Santander on 23 August 2025 and 30 August 2025. Santander has provided evidence that it immediately reached out on the same day to the PSPs that received Mr D's money to try to claim it back for him. But no funds remained. This is not unusual as scammers usually remove funds straight away. There's nothing more I could expect Santander to do in the circumstances.

The Reimbursement Rules require PSPs to refund consumers from their own funds. But the rules place limits on what a PSP is expected to reimburse and one such limitation is that they are entitled to deduct an excess from the amount they payout.

I am sorry if Mr D has fallen victim to a scam and lost money, but I don't think Santander made any failings that have caused or contributed to Mr D's loss – including its consideration of his fraud claim under the Reimbursement Rules. I therefore don't think it would be fair and reasonable to direct Santander to refund Mr D.

My final decision

My final decision is that I do not uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr D to accept or reject my decision before 17 April 2026.

Kathryn Milne
Ombudsman